business allows you to create value with your ideas and effort. Your personal capital has the potential to grow at a more accelerated rate.

Investing in your own business allows you to add leverage to your returns. Many people associate leverage with debt and assume this path is risky. That doesn’t need to be the case. There are many types of leverage. For example, you can develop a product ranging from writing a book to developing an app to designing a t-shirt, then sell the product at scale. You can leverage the efforts of multiple employees working for you. Leverage allows you to increase returns far beyond what is reasonable to expect with passive investments. Leverage used wisely allows you to accomplish this with little risk of losing money.

Investing in your own business also gives you access to tax advantages not available to those who earn income as employees. The benefits include the ability to access additional tax-deferred investment accounts, shift personal expenses paid with after-tax dollars to tax-deductible business expenses, and structure income to be taxed more favorably.

The active path has its downsides. You run the risk of the business failing along with the financial loss that goes with it. It is true that the wealthiest people in the world get there through investing in a